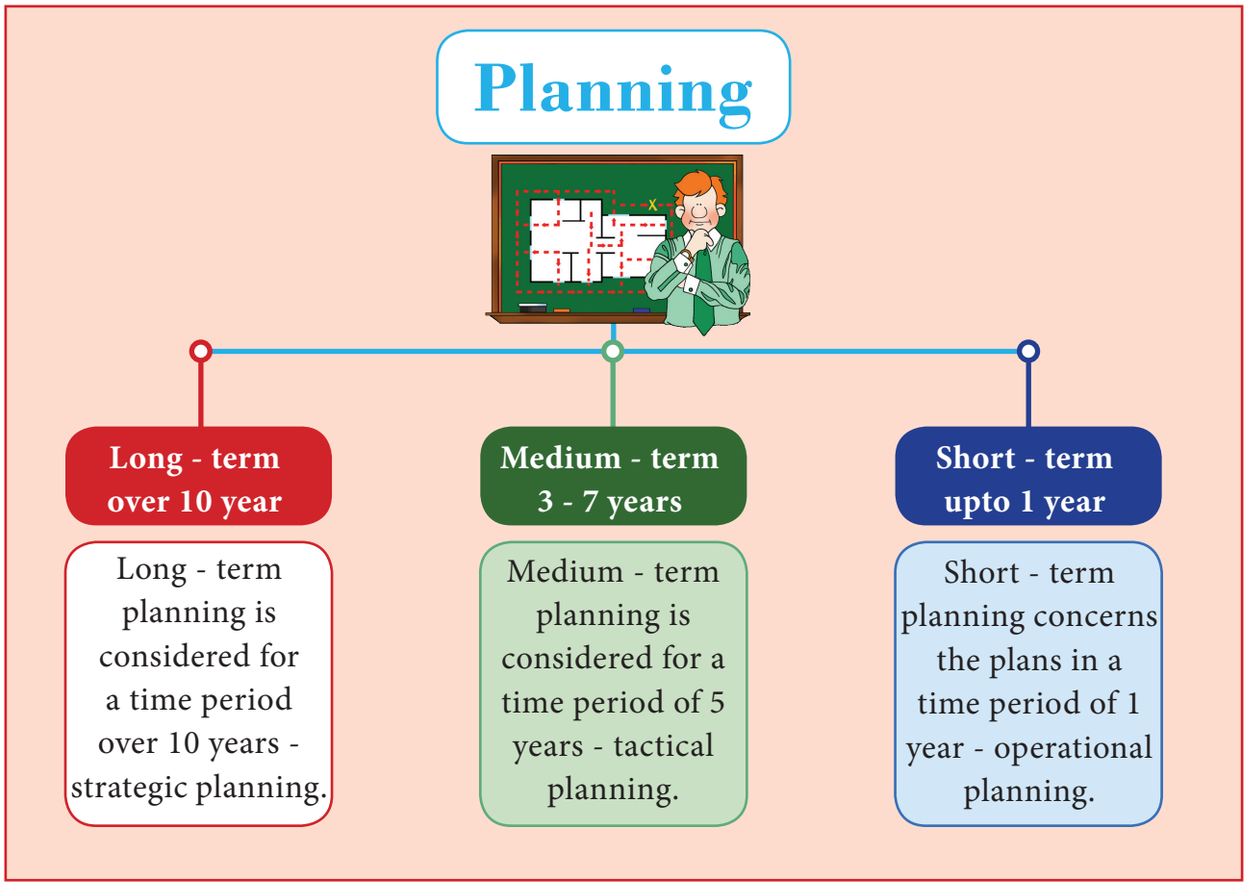
in France since the Monnet Plan of 1947-50. In a mixed economy, the private sector and the public sector work together. Under this plan, the outline of plan is prepared by the Government. Then it is discussed with the representatives of private management, trade unions, consumer groups, finance institutions and other experts. The essential function of planning is coordination of different economic units. The state provides all types of facilities to the private sector. The private sector is expected to fulfill the targets and priorities. The state does not force the private sector but just indicate the areas of operation and targets to be fulfilled. In short, the planning procedure is soft and flexible.

Under imperative planning, the state is all powerful in preparation and implementation of the plan. Once a plan is drawn up, its implementation is a matter of enforcement. The USSR President Stalin used to say, 'Our plans are our instructions'. There is complete control over the entire resources by the state. There is no consumer sovereignty. The Government policies and procedures are rigid. China and Russia follow imperative planning.

5. Short, Medium and Long term Planning: Short-term plans are also known as 'controlling plans'. They encompass a period of one year, therefore, they are also known as 'annual plans'.

The medium-term plans last for a period of 3 to 7 years. But normally, the medium term plan is made for the period of five years. The medium-term planning is not only related to allocation of financial resources but also physical resources.



12-Economics-Chapter_11.indd 250 23-12-2022 14:46:17